

9708/31/m/j/18

1-C:

A and B:

Private sector considers private benefits and private costs when taking a decision.

- ➔ If the **private benefits exceed private costs**(option A), the private sector will allow the development to take place.
- ➔ If the **private costs exceed private benefits**(option B), the private sector will not allow the development to take place.

C and D:

Public sector considers the external costs and benefits of production too.

- ➔ If the **social benefits exceed the social costs** (option C), the public sector will allow the development to take place because it is “**socially worthwhile**”. This is why, key C, becomes correct.
- ➔ If the **social costs exceed the social benefits**(option D), the project will not be socially worthwhile, and so, the public sector will not allow the development to take place.

2- A:

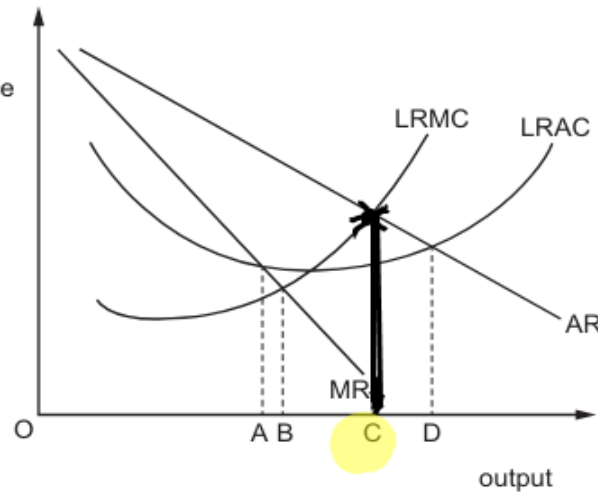
A – Atmospheric pollution in cities due to emissions from cars represents the existence of external costs, which since are not being considered, results in “market failure”

B- Free entry for children to an art gallery does not represent market failure, since “market failure” occurs when freely functioning markets fail to allocate resources from the society’s point of view. It does not involve under/allocation of resources or issues arising from imperfect information.

C and D: “Market failure” occurs when freely functioning markets fail to allocate resources from the society’s point of view. High rents for housing occupied by low income households(option C) and the inability of some football supporters to afford tickets to watch games(option D) represents the outcome of inequalities of income and wealth distribution, which is a macro-economic concern, and is not linked with market failure

3-C:

* allocative efficiency $\Rightarrow$ MC=AR



At which level of output is the firm both allocatively and productively efficient?

A OA B OB **C** OC D OD

Allocatively efficient point is **only** where marginal cost(the value put in the additional unit of good by the producer) is equal to Average revenue(the value placed on the additional unit of good by the consumer). This will be achieved at point "C". This is why, key C, becomes correct.

4-D:

A and C: If a person buys more of one of the two goods, or deems one good to be more desirable than the other, this is related to satisfaction , which is linked with indifference curve.

B: If a person's income changes, the budget line will shift parallelly rightwards or leftwards, depending upon whether the income has risen or fallen. But, the slope or the gradient remains same because the lines are parallel.

D: The slope of the budget line indicates the price ratio of the two commodities. The slope of the budget line changes when the prices of the two goods change. This is why, this becomes correct.

5-D:

The consumer prefers a higher output of both the goods to fewer units (as far as possible here represents that a greater output of both the goods is preferred). But a condition is that, the consumer prefers to try not to give up any of good X to obtain one more unit of Y. **This means that the consumer prefers more units of good X as compared to good Y.** Arranging consumer preferences in the descending order means that we have to order preferences from the **most desirable to the least desirable.**

1) Point "N" is the most desirable because alongside producing the highest output of good X, it is also producing a greater quantity of Y. Importantly, **the ability to consume the highest output of X makes it the most desirable.**

2) Points L and M show the least amount of good X that will have to be foregone to obtain more units of good Y, because on point "K", a higher quantity of X is foregone to obtain more of Y.

Point "M" is on the second rank, because unlike point "L" on which the similar qty of X is foregone, it is yielding a relatively higher output of good Y too. This means that the total of both the goods is higher here.

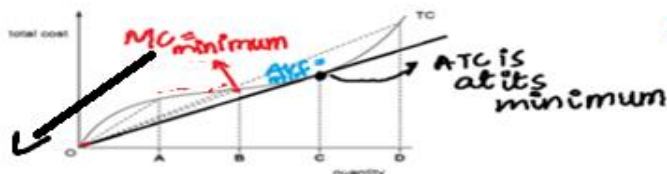
3) Thirdly, point "L" is preferred because here the quantity of X is unchanged; this means that X is not being foregone.

4) The least preferable combination is on "point K" on which a very high quantity of X has to be foregone to obtain more of Y. And here, out of all the combinations, **the least of "good X" is available.**

6-C:

Average cost represents Average total cost. Average cost is equal to the marginal cost, when the marginal cost curve and the average cost curve intersect, this is when **the average cost is at its minimum.** **Average total cost is at its minimum when the line beginning from the origin is tangent to the total cost curve.**

Marginal cost is at its minimum when the total cost curve is the flattest, which represents that the change in total cost or the marginal cost is at its minimum.



This is because, the total cost curve is the flattest here.

- * Firstly, marginal cost reaches its minimum
- * Then, average variable cost reaches its minimum
- * Later, average total cost reaches its minimum

7-C:

A: This is incorrect because price discrimination doesn't require a large number of buyers. In fact, a firm can practice price discrimination even with a less buyers as long as it can separate those buyers into different segments.

B: This is also incorrect because price discrimination is more likely to occur when the existing firms have a higher degree of market power, allowing it to charge different prices to different customers. Many firms in the market would actually make price discrimination more difficult, as competitors could undermine the firm's ability to charge different prices.

C: This is the correct answer because price discrimination requires that a firm can separate its customers into distinct groups with different price elasticities of demand. This means that the firm must be able to identify distinct market segments and prevent resale or arbitrage between segments.

D: This is incorrect because in-order for price discrimination to occur, each consumer group **must have varying price elasticities of demand**.

8-C:

A – **Horizontal integration** occurs when firms in the same industry, at the same stage of production merge, in an attempt to merge their market share.

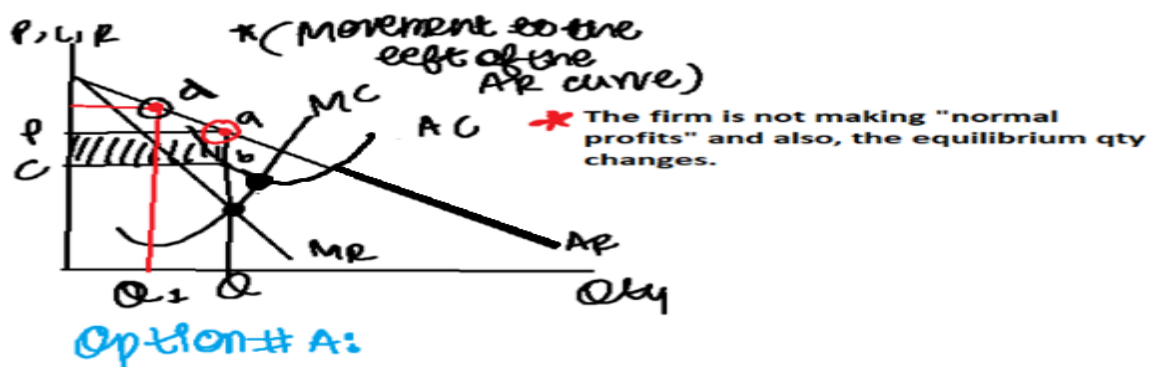
B_ **Lateral integration** is a term that describes the action of merging two firms that produce similar products in **different industries**, but within one market branch. For example: a bank merging with a life-assurance company

C- Since “**electronic chips**” are an essential component in the “**mobile-phone**”, an attempt by the mobile phone company of merging with an electronic chip design company that is its component provider, is an example of “vertical-backwards integration”. This is why, key C, becomes correct.

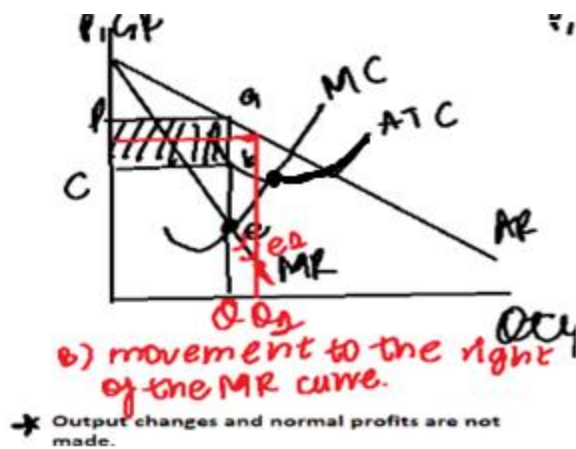
D – Vertically-forward integration is when a firm in the secondary industry merges with a firm in the tertiary industry, for example, if the mobile phone producing company would have merged with a mobile phone retailer. this would have represented “vertical-forward integration”

9-D:

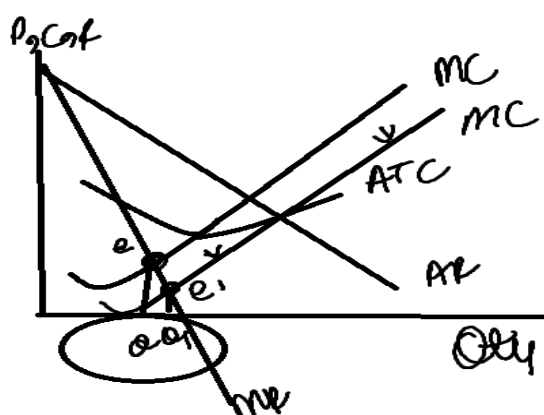
A:



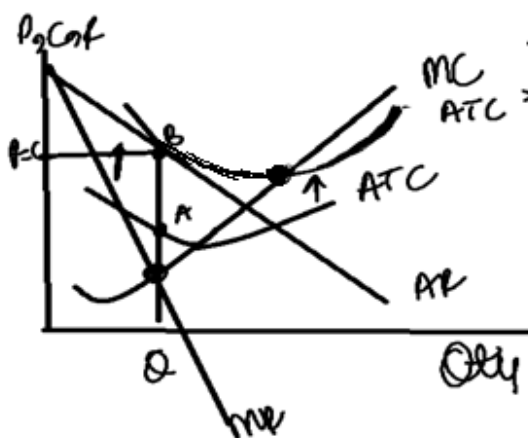
B:



C-



* when the marginal cost curve shifts to the right, the profit maximizing level of output (where $MC = MR$) will change.



* ATC shifts upward
 * The level of output remains unchanged
 * Supernormal profits convert to normal profits.

D - This explains why key D will be correct.

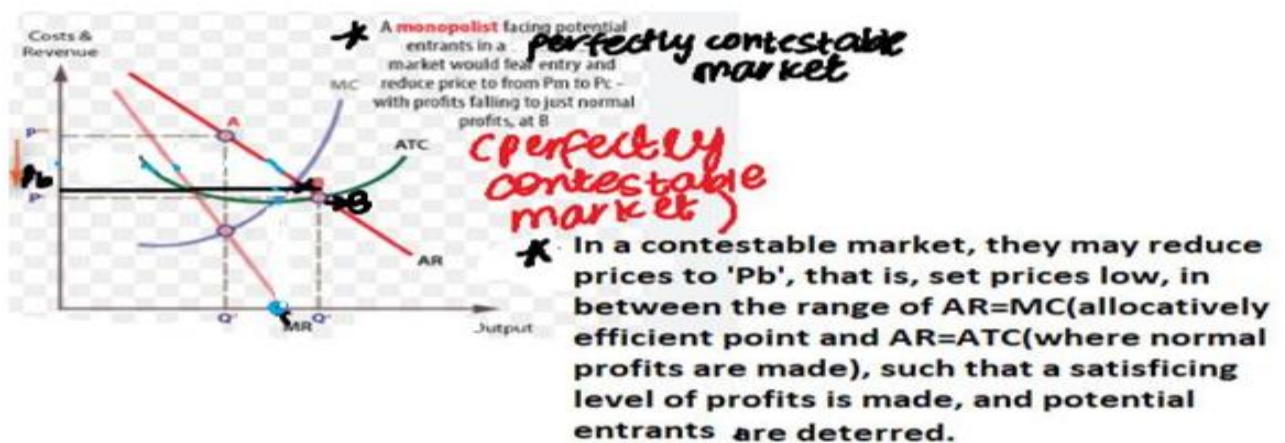
10-D:

A - In a contestable market, there are very less or even no barriers to entry (as with perfectly contestable markets). And, when there are no barriers to entry, there is no existence of "monopoly power"

B - This is incorrect because firms in the industry can not earn "abnormal profits" in the long-run. In the long-run, they only earn "normal profits"

C - Inefficient firms can not survive in the industry in the long run, in case of contestable markets, because the potential competition can become actual competition anytime, so the firm is bound to be efficient.

D - A monopoly being a monopoly can not act as a monopoly due to the potential threat of competition. This is explained using the diagram below:



Therefore, monopoly power may not necessarily be exploited. This is why, key D, becomes correct.

11-B:

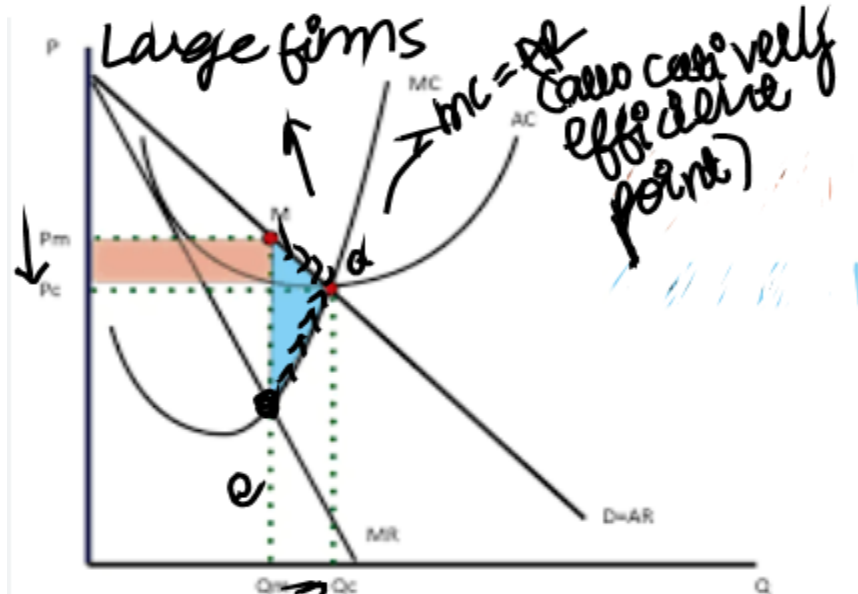
A - If an industry has a perfectly competitive market structure, wherein thousands of producers are involved in producing homogeneous products, and consumers have perfect knowledge about the available perfect substitutes, advertising cannot be used to influence them. Therefore, these small firms, operating with the objective of survival and holding a very small market share, are price-takers since their market share is insufficient to influence the price level. This is why this statement is incorrect.

B- If dividend payments are a low proportion of the company's profits, in this situation a firm will have higher retained earnings for re-investment in the business, as a result of which it is more likely to facilitate growth. This is why, option B, becomes correct.

C- If government regulations or restrictions are there to prevent takeovers, this will lead to firms being likely to stay small.

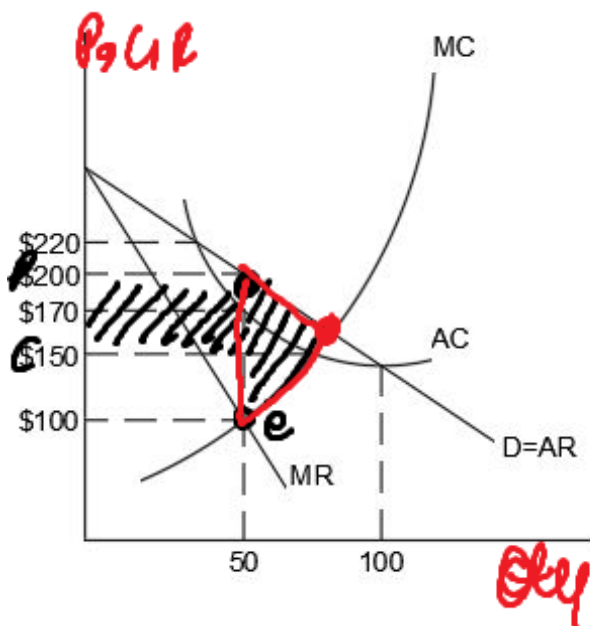
D - If there is a risk of managerial dis-economies of scale as firms grow large in size, then firms may be threatened because of the potential rise in the Long Run Average total cost, and are likely to stay small.

12-D:



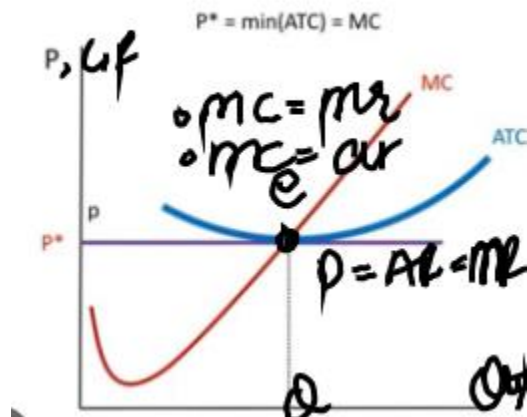
B and C: In case of large firms, such as: monopoly and oligopoly, when the objective changes from profit maximizing level of output to the allocatively efficient point, the area of deadweight loss of "Mae" gets completely eliminated. There will be a large increase in economic welfare.

A:



In case of monopolistic competition, when the objective changes from profit maximizing level of output to allocatively efficient point, the area of deadweight loss will get eliminated. **Although this increase in economic welfare will be lesser as compared to monopoly because monopolistic competition already produces a higher output and charges lower prices as compared to a large firm, this still would not be the “least change”**

D:



In case of perfect competition, at the profit maximizing equilibrium where $mc=mr$, already allocative efficiency is being achieved because $mc=ar$.

This means that even if the objective was changed to allocatively efficient output, there would be **no change in economic welfare**.

This therefore becomes the correct option because in case of perfect competition, there will be the “least change in economic welfare”

13-B:

Market failure refers to situations where the market does not allocate resources efficiently, leading to outcomes that are not socially optimal.

B - This government policy is an example of a corrective tax, also known as a Pigovian tax, which is intended to correct a market failure. **In this case, the market failure is as a result of external cost _ pollution of rivers, which is not internalized by the competitive free market.** By imposing a tax on the factories, the government is internalizing the externality, making the factories accountable for the pollution they cause, and encouraging them to reduce their pollution.

A) Guaranteed minimum prices for farmers is an example of a policy aimed to stabilize the incomes of farmers whose incomes fluctuate due to events outside of their control, for example: droughts, floods, or pest attacks.

C) Rent controls on housing are an example of price control, which are aimed to make housing affordable for low-income groups.

D) Provision of free books for children of **poorer households** is an example of social welfare policy, not a policy to correct market failure. (emphasis should be placed on the word “poor”)

14-A:

A- Since there has been an increase in employment in the tertiary sector by 6%, it can be said that employment in the service industries increased.

B- Although there has been a decrease in employment by a greater percentage in the primary sector than in the secondary sector, it can still not be said that primary sector workers lost more workers than the secondary sector. This is because it depends on the number of workers in each of the sector. The number of workers who are now made unemployed in each sector can only be calculated using the formula:

Percentage decrease in employment* no of workers in each sector.

C – Based on this data, we cannot comment on if there was a change in the total working population also known as the labor force or not. This is because we are only given information of the percentage change of unemployment.

D – Based on this data in percentage change of unemployment, we cannot say that total unemployment stayed constant.

15-B:

-> Transfer earnings represent the minimum wage required to keep a worker in the industry, or in other words, it is regarded as **the opportunity cost of keeping a labor in its present use, and since it is determined by what the labor would want in its next best employment, the \$60,000 that would have been earned as a “teacher” represents “transfer earnings”**

And, so the economic rent of working as an engineer will be \$40,000(100,000-60,000), which is the amount over and above the transfer earnings.

This explains why, key B, will be correct

16-A:

A – If there is a fall in the wages paid in similar occupations, more people would be willing to work in this industry, as a result of which, the supply of labor in the industry will increase, leading to the supply curve shifting towards the right. This is why, key A, becomes correct.

B – If there is a greater usage of machinery, this will lead to the demand for labor curve in the particular industry to shift leftwards.

C – If there is an increase in the demand for the product, this will increase the demand for labor, which is the derived demand.

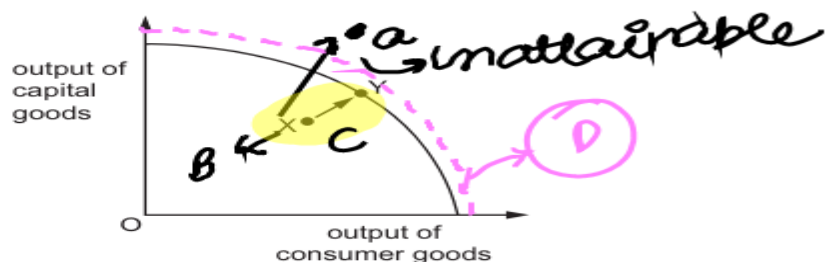
D – If the trade union influence of the industry is strengthened, this may lead to the trade union taking actions to increase the demand for labor by involving workers in training programs. As a result of this, there will be a rise in the wage rate that will bring about a movement along the labor supply curve.

17-C:

- The total cost of employing five staff, wherein each worker is paid \$10, will result in the total cost of five workers being “50” (5×10)
- Moreover, when seven workers are being employed, where in each worker is paid \$12, this will result in the total cost of seven workers being “84” (7×12)
- The marginal cost will therefore be the difference between the total costs of employing seven workers and five workers, which in this case will be “34” ($84 - 50$)

This explains why ,key C, will be correct.

18-C:



What causes a movement from point X to point Y?

- A a positive output gap
- B a recession
- ☒ C actual economic growth
- D potential economic growth

A – A positive output gap would have occurred when the actual output would have been greater than the potential output, shown through the unattainable point in the diagram 1.

B – A recession would have occurred when the actual (point inside the PPC) would have moved closer to the origin.

C – Since the actual that is the point inside the PPC(shown through point X) **moves towards the potential** that is the point on the PPC (shown through point Y), this represents “actual growth”. This is why, option C becomes correct.

D – Potential growth will be shown through a rightward shift of the PPC.

19-C:

A: A decrease in the general price level. This is not a likely explanation for real national output increasing more rapidly than employment. A decrease in the general price level (deflation) would actually come alongside a decrease in nominal output (this is because deflation is typically associated with a deficiency in Aggregate demand), not an increase in real output.

B : An improvement in the terms of trade means that the ratio of export prices to import prices has improved, but this is not a likely explanation for real national output increasing more rapidly than employment.

C: Labor productivity measures the output per worker, so an increase in labour productivity means that workers are producing more output per hour worked. **This can lead to an increase in real national output even if employment is not increasing as rapidly. This is why, key C, becomes correct.**

D: An increase in the size of the labor force does not explain why output is increasing more rapidly than employment. **If the labor force is growing, but employment is not increasing as rapidly, it means that there is a growing pool of unemployed workers, which would not lead to an increase in real output.**

20-A:

- A constant population means that the GDP growth rate accurately reflects the growth in output per person, which is a good proxy for the standard of living.

- A low and stable inflation rate means that the GDP growth rate is not distorted by price changes, and therefore accurately reflects the growth in real output.
- An equal income distribution means that the GDP growth rate benefits all citizens equally, and therefore accurately reflects the growth in the standard of living for the average citizen.

In this scenario, GDP growth accurately captures the improvement in the standard of living, as it reflects the growth in real output per person, without being distorted by population changes, inflation, or unequal income distribution.

This explains why key A is correct.

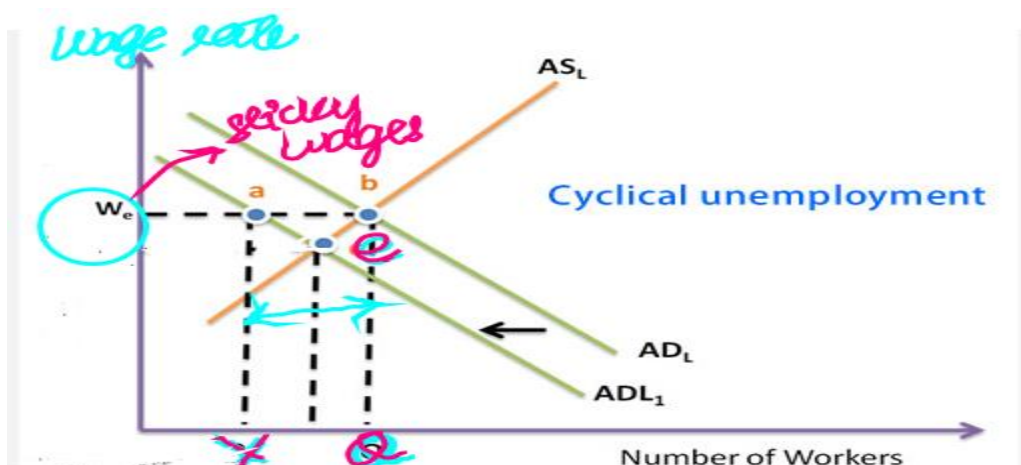
21-D:

A: Employers employ more labor if aggregate demand decreases. This is an incorrect assumption. **In reality, when aggregate demand decreases, employers tend to reduce employment, not increase it. This reduction in employment is a key feature of cyclical unemployment.**

B: This option is irrelevant to the explanation of cyclical unemployment. Exchange rates and trade balances are not directly related to the causes of cyclical unemployment.

C: Interest rates make planned investment equal to planned savings. This option is related to the loanable funds market and the determination of interest rates. The loanable funds market is a separate macroeconomic concept that helps to determine interest rates and the allocation of resources.

D: Money wages are inflexible in a downward direction. This is the correct assumption. The inflexibility of money wages in a downward direction means that workers and unions resist wage cuts, even in the face of reduced demand for labor. As a result, employers reduce employment rather than reduce wages, leading to cyclical unemployment. This assumption is a key feature of the explanation of cyclical unemployment. This can be seen in the diagram below:



Diagrammatical explanation: When Aggregate demand falls, firms contract their scale of production, and subsequently Aggregate demand for labor falls shown through the leftward shift in the Aggregate demand for labor curve from AD_L to AD_{L1} .

And when workers resist wage cuts, or wages remain sticky or inflexible downwards as per Keynesian economics, there is demand deficient unemployment of “XQ”

22-B:

$I > S$: Yes

When investment that represents injections into the circular flow is greater than savings which represent leakages from the circular flow, **this identifies “net injections” in to the circular flow.**

$X < M$: No

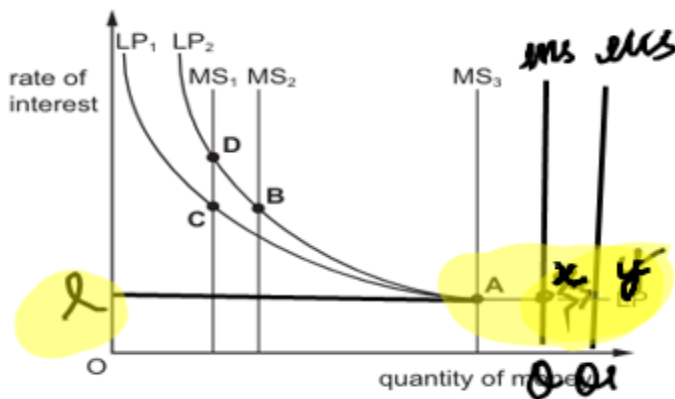
When export revenues that represent injections into the circular flow are lesser than import expenditures, **this identifies “net leakages” from the circular flow.**

$G < T$: No

When government expenditures that represent injections into the circular flow are lesser than taxes that represent leakages, **this identifies “net leakages” from the circular flow.**

23-A:

A **liquidity trap** occurs when the demand for money (or liquidity preference) is perfectly elastic, meaning that people are willing to hold an infinite amount of money at a given interest rate. This happens when the interest rate falls to the minimum level, and it cannot further fall below this level. This represents a situation where further injections of cash in to the private banking system will fail to have any effect on the interest rate, thus making monetary policy ineffective.



This can be seen through position A in the diagram above.

24-B:

Depreciation of the exchange rate leads to export-oriented goods becoming relatively cheaper, as a result of which, there is an extension in the quantity demanded of exported goods by a relatively higher percentage when the demand for them is elastic, which will result in a rise in export revenues. And since these represent net injections in to the circular flow, there will be an increase in Aggregate demand, causing the curve to shift rightwards.

Similarly, as a result of depreciation, imported goods become relatively expensive, and in a situation whereby raw materials were imported, the demand for which is inelastic, there will be a contraction in qty demanded by a relatively smaller percentage, subsequently leading to an increase in import expenditures. This will increase the costs of production of producers, bringing about a leftward shift in the Aggregate supply curve.

As a result of which, a new equilibrium will be achieved from X to B.

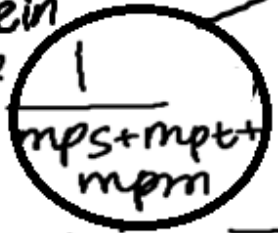
25-B:

From any additional national income, 20% is spent on imports, 25% is paid in taxes, 5% is saved and the rest is spent on domestically produced goods. → **50%, $mpc = 0.5$**

According to the multiplier effect, if exports increase by \$100 million, what will be the final increase in spending by the country's residents on domestically produced goods?

- A \$50 million B \$100 million C \$200 million D \$500 million

$$\begin{aligned} mpm &\rightarrow 0.2 \\ mpt &\rightarrow 0.25 \\ mps &\rightarrow 0.05 \end{aligned}$$

Change in $\Rightarrow AE \times$  $\Rightarrow$ Change in RNI

$\Rightarrow 100 \times \frac{1}{0.2 + 0.25 + 0.05} \rightarrow 200$

multiplier

* Total increase in RNI will be 200
 * Increase in spending on domestic goods =
 $200 \times 0.5 \rightarrow \100

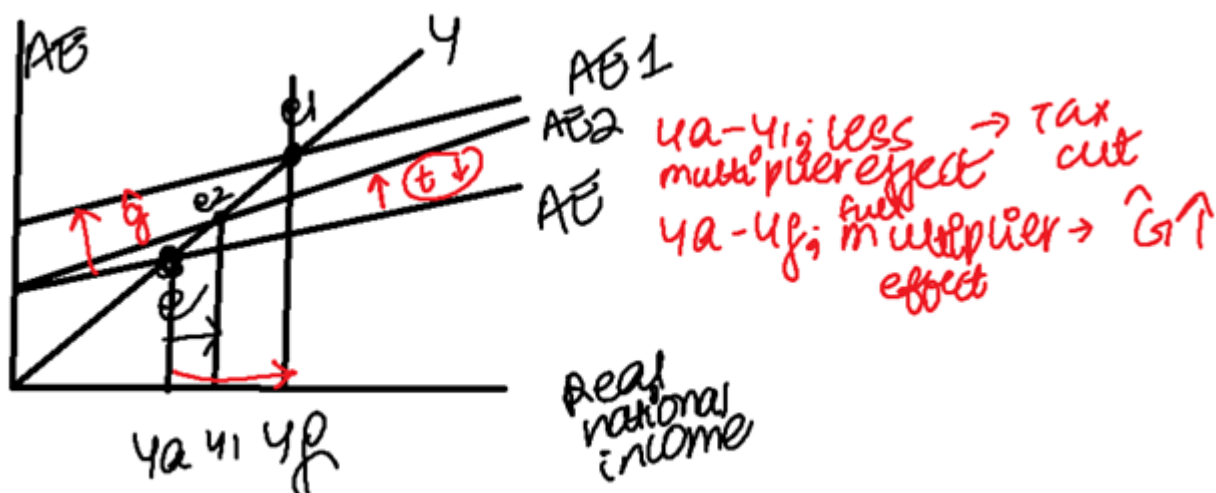
26-A:

In a Keynesian model, a \$100 million increase in government expenditure on goods and services has a greater impact on aggregate demand than a \$100 million reduction in tax revenue because the government expenditure directly increases aggregate demand, whereas a tax cut only increases disposable income, which may not be fully spent.

When taxes are reduced, consumers may save some of the extra disposable income, rather than spending it all. This is known as the marginal propensity to consume (MPC) being less than 1. As a result, the multiplier effect of the tax cut is reduced.

In contrast, government expenditure directly injects money into the economy, leading to a full multiplier effect. The entire \$100 million is spent, creating a larger impact on aggregate demand.

So, the correct answer is A) Consumers spend only part of any extra disposable income.



27-D:

D - Equilibrium income in the economy refers to the level of national income at which the aggregate demand for goods and services equals the aggregate supply of goods and services. At this point, there is no tendency for the national income to change, as the economy is in a state of balance.

The other options are not correct definitions of equilibrium income:

A) Full employment national income refers to the level of national income at which all available resources are fully employed, not necessarily the equilibrium level. Since the potential income is not necessarily equal to actual income, this gives existence to output gaps.

B) The inflow and outflow of currency being equal does not represent equilibrium income.

C) Government expenditure equal to government revenue refers to a balanced budget, not equilibrium income.

28-C: Automatic stabilizers are government expenditures and tax revenues that automatically change in response to changes in economic activity, helping to stabilize the economy.

C - State retirement pension is not an automatic stabilizer because it is a fixed expenditure, not directly responsive to changes in economic activity. The amount of pension payments does not automatically increase or decrease in response to changes in GDP or employment.

The other options are all automatic stabilizers:

- Income tax (A) revenues decrease during a recession, reducing the burden on taxpayers.
- Profits tax (B) revenues decrease during a recession, as profits fall.
- Unemployment benefit (D) payments increase during a recession, providing support to those who have lost their jobs.

29-B:

A - Lowering interest rates can stimulate economic growth by making borrowing cheaper which leads to an increase in investment and subsequently increases Aggregate demand. However, if actual growth exceeds potential growth, it can lead to inflationary pressures. This is because an increase in Aggregate demand may outpace Aggregate supply such that it becomes difficult for inelastic Aggregate supply to expand to meet rising Aggregate demand. This will subsequently result in shortages, bringing about an upward pressure on the price level, representing a conflict with price stability, as the economy may experience inflation. Furthermore, if interest rates are lowered too much, it can lead to financial instability.

B: Supply-side reforms aimed to improve efficiency in labor market will reduce wage costs, which results in a fall in costs of production, leading to an increase in Aggregate supply. Since because of this, there will be a surplus of resources in the economy, there is going to be a downward pressure on the price level. This represents that as cost push inflation is reduced, the objective of price stability may be achieved. Additionally, there will also be an increase in real incomes, representing a rise in incomes, output and employment, which represents that the objectives of full employment and economic growth will be achieved.

C: Tax reform that makes the tax system more regressive may not achieve redistribution of income and wealth. Regressive taxation means that the tax burden falls more heavily on lower-income households, which can exacerbate income and wealth inequality.

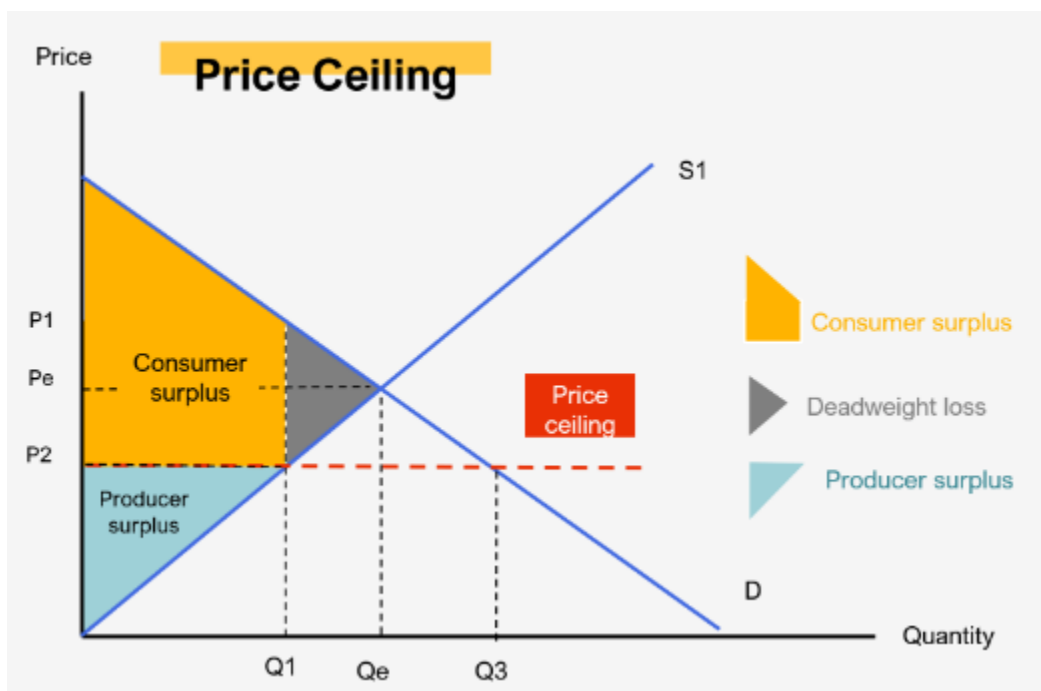
Option D:

Introducing tariffs to protect domestic industry can lead to full employment in the short term, but it can also conflict with price stability. Tariffs can reduce imports and increase demand for domestic products, leading to increased production and employment. However, when because of a rise in domestic consumption, Aggregate demand increases, an increase in Aggregate demand may outpace Aggregate supply such that it becomes difficult for inelastic Aggregate supply to expand to meet rising Aggregate demand this will subsequently result in shortages, bringing about an upward pressure on the price level, representing a conflict with price stability.

30-D:

A - Price controls can actually reduce allocative efficiency by distorting market signals and leading to misallocation of resources. It can be seen that there is a resultant dead-weight loss in the market.

Allocative efficiency occurs when $D(MSB)=S(MSC)$, there are no shortages or surpluses and resources perfectly follow consumer demand. However, when price-ceiling is imposed, there is a shortage in the market which represents a dis-equilibrium situation.



B: Maximum prices result in a contraction in qty supplied.

C : As a result of maximum prices, there is an extension in quantity demanded.

D: When price increases of goods and services are limited through a maximum price legislation, this may help to reduce expectations of inflation.

This is why, key D, becomes correct.